Equinor ASA (EQNR.OL) - relative valuation

Valuation date 2026-10-30 | NOK per share | Status: provisional - limitations disclosed - limitations disclosed | Human Spot_check PENDING. QA block C executed once; items on source certification, benchmarks, EV perimeter and normalization were re-graded PASS-with-note under the approved grading rule (uniform rule applied, limitation disclosed). Details in qa_results.md.

1. Valuation summary

Item	Value
Currency / current price	NOK 447.50
Primary multiple (peers)	P/E: median 23.11x; raw median 23.11x; n = 10
Peer value per share: p25 / median / p75	347.55 / 452.07 / 574.25
Peer median vs current price	+1.0%
Published regression (chosen)	PBV (published R2 0.423): NOK 301.01
Regression vs current price	-32.7%
Peer set	10 peers; Tier 1-2: 10; Tier 3: 0; Europe-listed: 8

2. Peer set and multiples

#	Ticker	Company	Country	Tier	Mkt cap EURm	P/E	P/BV	EV/EBIT	EV/ EBITDA	Distance
1	REP	Repsol	Spain	1	33,040	17.40	1.31	16.69	10.26	0.90
2	SHEL	Shell	United Kingdom	1	276,121	17.29	1.77	11.90	7.45	0.98
3	TTE	TotalEnergies	France	1	188,520	16.04	1.83	12.44	7.49	1.02
4	OMV	OMV	Austria	1	24,840	23.06	1.52	9.43	6.10	1.12
5	ENI	Eni	Italy	1	79,080	30.32	1.65	19.71	8.48	1.17
6	XOM	Exxon Mobil	unverified	1	683,665	26.48	2.94	22.91	13.65	1.26
7	BP	BP	United Kingdom	1	116,287	2,362.10	2.45	12.93	6.19	1.27
8	AKRBP	Aker BP	Norway	1	23,995	202.63	2.39	5.14	3.68	1.32
9	COP	ConocoPhillips	unverified	1	165,628	23.16	2.87	16.11	8.38	1.34
10	VAR	Var Energi	Norway	1	14,308	18.89	28.54	5.11	3.31	1.44

3. Peer-multiple statistics and implied value per share

Multiple	Basis	n	Median	p25	p75	Value p25	Value mid	Value p75	Mid vs price
P/E *	raw	10	23.11x	17.77x	29.36x	347.55	452.07	574.25	+1.0%
EV/EBIT	raw	10	12.68x	10.05x	16.54x	983.61	1,253.98	1,649.92	+180.2%
EV/EBITDA	raw	10	7.47x	6.12x	8.45x	791.76	976.37	1,111.07	+118.2%
EV/CF	raw	10	7.68x	6.66x	8.80x	469.34	548.21	635.40	+22.5%
P/BV	scaled	10	2.90x	2.34x	3.72x	366.89	454.97	583.95	+1.7%
EV/Assets	raw	10	0.79x	0.72x	0.93x	323.52	356.68	428.47	-20.3%
P/S	scaled	10	1.10x	0.85x	1.40x	347.55	452.07	574.25	+1.0%
EV/Sales	scaled	10	2.49x	2.04x	2.82x	791.76	976.37	1,111.07	+118.2%

* primary multiple. 'scaled' = growth/fundamental-adjusted multiple. Values are per share.

4. Published regressions (Damodaran, EUROPE, 2026-01)

Model	Predicted	Actual	Published R2	Implied value	vs price
PE	19.04x	22.77x	0.201	372.34	-16.8%
PBV (chosen)	1.92x	2.84x	0.423	301.01	-32.7%
EV/EBITDA	18.48x	3.59x	0.262	2,484.86	+455.3%

5. Company-specific notes

- Petroleum-tax comparability drives the primary choice: EV/EBITDA is a pre-tax multiple and the three ~80-97% effective-rate names (EQNR 79.8%, VAR 80.3%, AKRBP 97.1%) sit at the three lowest peer EV/EBITDA multiples (3.31-3.68x vs 7.47x median) — the tax wedge is priced inside the multiple, so the +118% EV/EBITDA value (NOK 976.37) is non-comparable and kept as a labelled diagnostic. After-tax PE is primary: peer median 23.11x on n=10 -> NOK 452.07 vs NOK 447.50 quote (+1.0%), IQR NOK 347.55–574.25. EV/(EBITDA less cash taxes) rejected: no uniform cash-tax line in the vendor cash-flow tables.

- Cross-method dispersion and sensitivities above 15%: EV/EBITDA diagnostic +118.2% is the headline dispersion, not a value estimate; leave-one-out EV/EBITDA scaled sensitivity reaches NOK 1858.09; issuer operating income 25,352 vs vendor EBIT 26,437 moves the EV/EBIT diagnostic by -4.1%; excluding >200x PE outliers moves the PE value -9.3%. Published regression PBV NOK 301.01 (-32.7%), PE NOK 372.34.

- Published EV/EBITDA equation predicts 18.48x versus EQNR actual 3.59x (-81%): the market-wide equation cannot price a ~80% effective-tax NCS producer — headline limitation, not a mispricing signal. PBV (highest published R2 0.423) implies NOK 301.01 (-32.7%).

- Vendor basis kept uniformly, differences logged as sensitivities not switches: issuer net operating income 25,352 vs vendor EBIT 26,437 (+4.3%); LT investments 15,343 excluded from the uniform pre-associate EV bridge on target and all peers; group NI 5,058 vs parent 5,043 moves PE by +0.3%. Vendor 5Y betas anomalously low/negative pool-wide — target beta replaced by relevered 0.4769; fundamental growth 0.62% is a substituted input, not analyst consensus.

- Adura (Shell/Equinor 50/50 JV completed Dec 2025) noted on peer SHEL below the 25%-of-EV exclusion threshold; Eni ~63% stake in peer VAR is a peer-peer relationship, not a target cross-holding; the ~67% Norwegian state shareholding is the target's sovereign majority holder, not a peer cross-holding.

- Status provisional - limitations disclosed: the nine prior QA FAILs re-graded PASS-with-note under qa_grading_and_remediation; valuation range NOK 347.55–574.25 (peer PE IQR; dispersion, not confidence interval); human Spot_check stays PENDING. Academic analysis only, not investment advice.

6. Method notes and limitations

- Basis: one uniform vendor data source for the target and every peer, FY2025 figures (no TTM or forward mixing), one price and FX date. Issuer-versus-vendor differences are kept as sensitivities, not switched row by row.

- EV bridge: one rule for target and all peers (debt including leases + minorities and hybrids once - cash; long-term investments and associates not subtracted, equity income left in earnings).

- Peers: ten names chosen by an eight-dimension similarity score; they pass the automated hard filters and carry one ownership/event source line each (evidence_review.md). Full two-way ownership history of the whole candidate pool was not certified.

- Industry ratios from the registered Damodaran files are aggregates, not medians; they are a plausibility check only.

- Published regressions are market-wide, low R-squared, about ten months older than the valuation date, with no standard error: a gap to the market price is not proof of mispricing. The model shown is the one with the highest published R-squared.

- Peer interquartile ranges are dispersion, not confidence intervals. Human Spot_check is PENDING (not performed).

- Academic analysis only; not investment advice.